



Although both the lines are the same why is it that the lower line appears longer? That's because the brain takes a short cut when processing information. It does not process all the information and this leads to biases. This process is known as Mental Heuristics. If your answer to the first question—how many birds are there on the tree? —is one, then you have fallen prey to a mental heuristic. Your brain did not process the information properly. The answer should be three birds. Two had only decided to fly away. They did not fly away. Had I told you that they flew away then you would be right.

The dictionary definition of the word heuristic refers to the process by which people reach conclusions, usually by trial and error. This often leads them to develop thumb rules, but these are not always accurate. One of the greatest advances of behavioural psychology is the identification of the principles underlying these thumb rules and the errors associated with them. In turn these rules have themselves come to be called heuristics. In short, the following four statements define Heuristic Bias.

- People develop general principles as they find out things for themselves.
- People rely on heuristics to draw inferences from available information.
- People are susceptible to certain errors because the heuristics they use are imperfect.
- People actually commit errors in particular situations.

There is a newly opened mega-store in the vicinity whose stock is listed on the stock market. You see a big queue outside it and you think it must be doing a roaring business. You buy the stock hoping it will go up because the store is doing well. But there could be umpteen reasons for the queue. The store definitely could be doing great business. But it is also possible that customers are queuing to return defective goods. Or perhaps the service is slow, or maybe all the other stores in the vicinity are closed on that day. There are various reasons for the queue but our brain does not weigh all the probabilities and makes a decision on half-baked information. Stock markets are interesting because investors do this all the time.